

GLOBAL GROWTH FUND

C26 Academy Asset Management · Portfolio Construction Document · July 2026

Fund AUM: £1,000,000 · Investment Horizon: 2 Years · Mandate: Capital Appreciation ·
ESG Integrated (considered - not mandated) · Risk Profile: Moderate-High

1. Portfolio Allocation

Equities 40% £400.000	Fixed Income 25% £250.000	Commodities 20% £200.000	Alternatives 15% £150.000
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Security	Ticker	Security Wt	£ Value	P/E	P/E FW	Beta (5Y)	SD (1Y)	Micro View & Justification (per security)
Microsoft	MSFT	12%	£120,000	29x	--	1.10	27.7%	Down 20.5% vs S&P, while Copilot seats hit 20m (+250% YoY), historical high growth and recurring revenue within tech and AI, re-rating opportunity. (ESG: Investments in energy-efficient data centres)
Nvidia	NVDA	14%	£140,000	30.1x	21.8x	2.21	36.5%	Leading supplier of AI GPUs, Forward P/E suggests that earnings are expected to grow rapidly. (ESG: Improving energy efficiency per AI workload.)
AstraZeneca	AZN	8%	£80,000	26.8x	17.2x	0.21	~26%	Healthcare exposure, historically resilient against market volatility. (ESG: medical R&D)
JPMorgan Chase & Co.	JPM	6%	£60,000	15.1x	--	~1.0	15.2%	Adds diversification, stable income from interest rates and credit activity. (ESG: target to use renewable energy for all operations.)
US Treasury 4.625% Aug 2028	UST	9%	£90,000	N/A	--	~0	Low	Yield 4.27%, (AAA sovereign), matching fund horizon. Short duration limits price risk from further rate rises. High liquidity.
UK Gilt 4.00% Jan 2028	UKT	9%	£90,000	N/A	--	~0	Low	Zero currency risk for the fund, yield over historical average.
Apple 3.85% Corp Bond 2046	AAPL	7%	£70,000	N/A	--	~0	Low	Exposure to high-quality investment-grade corporate bond. Provides additional yield over government bonds while maintaining low risk.
Gold (COMEX Dec 2026 Future)	GC	9%	£90,000	N/A	--	~-0.1	~15%	Near-zero equity correlation, primary crisis hedge while capturing profit from the gold market, benefits from current market escalations (Iran-U.S.).
WTI Crude (NYMEX Aug 2026)	CL	6%	£60,000	N/A	--	~0.2	~32%	Structural exposure to energy prices driven by geopolitical supply disruptions with low correlation to equities, enhances diversification.
Copper (LME 3-Month Future)	HG	5%	£50,000	N/A	--	~0.3	~22%	AI data centers need 3-5x more copper per square foot than traditional buildings. Commodities directly to the AI theme driving NVDA and MSFT.
BlackStone Inc	BX	7%	£70,000	31.7x	19.75x	1.58		Worlds largest alt. management (large fee-generating asset) with diversification and exposure to private equity, real estate and infrastructure.
KKR Co. Inc.	KKR	5%	£50,000	36.3x	--	1.5		Recurring management fees support earning growth despite market volatility, benefiting from private credit.
Apollo Global Management	APO	3%	£30,000	15.9x	--	1.4		Leading private credit and alternative asset manager benefiting from continued demand for non-bank lending and fee-based earnings.

2. Macro view (Reasoning)

Supercycle and Growth:

AI capital expenditure has been the defining macro force of 2026 Nvidia Q1 FY2027 with revenue reaching \$81.6bn (+85% YoY).

CEO Jensen Huang described demand as the largest Infrastructure expansion in history, leading to billions in data-centre build-out and driving S&P500s EPS growth with concentrated 13-15% in semiconductors and cloud. This drives the position for Nvidia and Microsoft and Copper position (data centres require 3-5x more copper than traditional buildings).

Client Profile – University Students:

The client risk profile informs every weighting decision. Students have short investment horizon but typically longer personal capital horizons due to future earnings potential, making short-term drawdowns recoverable and justifying moderate-high risk tolerance and a 40% equity allocation as driving growth.

Growth is prioritized over income, the 2-year horizon matches our fed. bond maturities.

Geopolitical Risk – Hormuz Supply:

The Iran-US conflict (2026) closed the Strait of Hormuz, leading to cutting global oil flows from 102 ships/week to 4 by early May, this means removing approximately 10% of global oil supply. WTI has then structurally been above \$100/bbl since, reflecting geopolitical risk premium, 20% commodity allocation directly profits from the shock while gold benefits from the resulting risk-off environment.

3. RISKS & MITIGATION / CURRENT MARKET UNDERSTANDING

AI Valuation Correction

NVDA/MSFT at elevated multiples. Earnings miss or loss in confidence could trigger correlated sharp de-rating. Mitigation: 40% equity cap, diversification across industries, AZN (beta 0.21) and JPM (P/E 15.1x, SD 15.2%) both are low volatility anchors.

Interest Rate risk

Further pressures on bond prices. Mitigation: All gov bonds mature by Jan-Aug 2028 leading to short duration which minimizes price impact. The Corporate bond AAPL although it matures 2046, the position provides exposure to high-quality investment-grade corporate credit and additional yield compared to government bonds.

Currency Risk – USD/GBP

65% of assets USD-priced; fund is GBP-denominated. Mitigation: UK Gilt + AZN provide 18% natural GBP hedge. We'd deploy FX Forward contracts as a derivative hedge if currency drift exceeded 4%, for now it is focused on growth.

Geopolitical / Energy risk

Escalation spikes oil, pushes inflation higher which results in pressure on equities and bonds. Mitigation: 9% gold, 6% WTI directly profit. Gold has historically acted as a defensive asset during geopolitical stress. Commodity sleeve is the portfolio crisis hedge.

Current Market Understanding

S&P500 at record highs on AI/energy and supported by strong earnings expectations. S&P500 has reached record levels with AI expenditure and corporate growth being the key market theme. However, the market has been concentrated with few companies elevating the S&P500 and significant contribution from Technology companies. This created valuation risk, geopolitical risks keep being key macro drivers and recent disruption to energy supply routes has made it important for commodity exposure as portfolio hedge.

